

Part E – Retention Strategy + Experiment Design

Subscription Churn Early-Warning Project

1. Retention Program Objective:

Reduce short-term churn by **targeting high-risk users identified by the churn prediction model** and deploying **timely, personalized retention interventions**.

Goal over next 30 days:

- Reduce churn rate by **10–15%**
- Improve **renewal success rate**
- Retain **high-revenue users before cancellation**.

2. Targeting Logic:

Retention actions will use **model risk scores + behavioural signals**.

Risk Bands (From Churn Model)

<u>Risk Band</u>	<u>Score Range</u>	<u>% Users</u>	<u>Strategy</u>
High Risk	>0.70	~15%	Immediate retention intervention
Medium Risk	0.40-0.70	~30%	Engagement nudges
Low Risk	<0.40	~55%	No action

Priority Target Segments

Based on analytics insights:

- **Monthly plan + low engagement users**
- **New users (tenure < 30 days)**
- **Users with recent payment failures**
- **Users with sudden usage decline**

3. When to Target Users:

Retention timing is critical.

Trigger Conditions

<u>Trigger</u>	<u>Timing</u>	<u>Purpose</u>
Renewal Reminder	7 days before renewal	Prevent accident churn
Usage Decline Alert	After 3 inactive days or 40% usage drop	Re-engage users
Payment Retry Nudge	Immediately after failed payment	Recover revenue
Early Tenure Nudge	Day 7-14 after signup	Build habit formation

4. Retention Interventions:

1. Renewal Reminder + Value Reinforcement

Target:

Users with upcoming renewal within 7 days

Message Example:

“Your subscription renews soon. Continue learning with new features added this month.”

Goal:

Increase renewal success rate.

2. Limited-Time Retention Offer

Target:

High-risk users with declining usage

Offer Example:

- 15% discount for next month
- Free premium feature access for 14 days

Goal:

Reduce price sensitivity churn.

3. **Personalized Content / Feature Pack**

Target:

Low engagement users

Examples:

- Recommended courses
- Curated shows/content bundle
- Feature tutorials

Goal:

Increase perceived value and engagement.

4. **Payment Retry Nudges**

Target:

Users with failed payment attempts

Actions

- Smart retry schedule (Day 0, Day 2, Day 5)
- Prompt to update payment method
- Suggest alternate payment options

Goal:

Recover revenue from involuntary churn.

5.A/B Test Design

To validate effectiveness, all retention actions will be tested through controlled experiments.

Experiment Setup

Group	Description
Control	No retention intervention
Treatment	Receives retention program

Users will be **randomly assigned** to each group.

Example Allocation

Group	% Users
Control	50%
Treatment	50%

6.Primary Metric

Renewal / Retention Rate

Definition:

% of users who renew their subscription within the renewal window.

This directly measures retention program success.

7. Guardrail Metrics

Guardrail metrics ensure the campaign does not harm business performance.

Metric	Purpose
Discount Cost	Ensure offers do not erode revenue
Margin Proxy	Revenue retained – discount spend
Complaint Proxy	Unsubscribe rate / support tickets
Engagement Lift	Usage minutes after intervention

8. Experiment Duration

Recommended duration:

3–4 weeks

Reason:

- Covers at least one billing cycle
- Allows enough time to observe churn outcomes

9. Sample Size Logic (Rough)

Assume:

- Baseline renewal rate = **88%**
- Expected improvement = **3–5%**

For statistical confidence (~95%):

Recommended minimum sample size:

~5,000 users per group

If user base is smaller:

- Run experiment longer
- Use sequential testing

10. Expected Impact (Estimate)

If retention campaign targets:

Top 20% high-risk users

Example scenario:

Metric	Value
Users targeted	20,000
Baseline churn	18%
Expected reduction	20%
Users saved	~720

Revenue retained (example):

720 users × ₹500 monthly plan
= **₹3.6L retained revenue**

